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# Central Banking in India: The Beginnings

THE EFFORTS TO SET UP a banking institution in India with some elements of a central bank are more than two centuries old. These can be traced as far back as January 1773, when Warren Hastings, Governor of Bengal, placed before the Board of Revenue his plan for a ‘General Bank of Bengal and Bahar.’ The three main considerations in setting up the bank were to act as a treasury for revenue collections in districts, the attempt to evolve a standard coin, and to remedy the situation arising from the contraction of the currency in circulation at the time of collection of revenues. The Board approved of the plan with some modifications, but the bank which was set up in April 1773 as a private bank under the patronage of the East India Company, proved to be short-lived, being abolished in February 1775. One view held that the bank did not afford the relief expected of it; a different and contrary view maintained that the closure of the bank was not on economic grounds. Whatever the reasons for its early demise, it managed to make a substantial profit of which the government was a 50 percent beneficiary.

## EARLY EFFORTS

The next attempt was made in 1807–08 by Robert Rickards, a member of the Bombay government, who submitted a scheme for a ‘general bank’. The proposed bank which was to be jointly owned by the public and the government in the proportion of 2:1 was proposed more as a means to pay off the large public debt. It was to be managed by a Board of Directors